

Consolidated Financial Statements and
Report of Independent Certified Public
Accountants

United Service Organizations, Inc.

December 31, 2024 and 2023

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REPORT OF INDEPENDENT CERTIFIED PUBLIC ACCOUNTANTS

Board of Governors
United Services Organizations, Inc.

Opinion

We have audited the consolidated financial statements of the United Service Organizations, Inc. (the "USO"), which comprise the consolidated statements of financial position as of December 31, 2024 and 2023, and the related consolidated statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the USO as of December 31, 2024 and 2023, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for opinion

We conducted our audits of the consolidated financial statements in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the USO and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of management for the financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the USO's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the USO's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the USO's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.



Arlington, Virginia
May 8, 2025

United Service Organizations, Inc.

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

December 31,
(In thousands of dollars)

	2024	2023
ASSETS		
Cash and cash equivalents	\$ 32,359	\$ 19,107
Contributions receivable, net	27,386	23,806
Grants receivable	8,023	7,612
Other receivables	543	870
Prepaid expenses and other assets	5,017	3,980
Inventory	2,057	2,496
Operating investments	24,882	33,399
Endowment investments	158,680	156,110
Beneficial interest in assets held by others	3,445	7,983
Fixed assets, net	15,594	19,161
Right of use assets	4,651	5,260
Total assets	<u>\$ 282,637</u>	<u>\$ 279,784</u>
LIABILITIES AND NET ASSETS		
Liabilities		
Accounts payable and accrued expenses	\$ 12,527	\$ 14,777
Lease liability	6,330	7,394
Total liabilities	<u>18,857</u>	<u>22,171</u>
Net assets		
Without donor restrictions	150,777	153,247
With donor restrictions	113,003	104,366
Total net assets	<u>263,780</u>	<u>257,613</u>
Total liabilities and net assets	<u>\$ 282,637</u>	<u>\$ 279,784</u>

The accompanying notes are an integral part of these consolidated financial statements.

United Service Organizations, Inc.

CONSOLIDATED STATEMENT OF ACTIVITIES

Year ended December 31, 2024
(In thousands of dollars)

	Without Donor Restrictions	With Donor Restrictions	Total
Revenue, gains and other support			
Contributions			
Corporate, foundation and individual giving	\$ 33,604	\$ 26,250	\$ 59,854
Direct response	56,023	-	56,023
United way and CFC	253	28	281
Contributed materials, facilities and services	105,674	-	105,674
Grants	24,411	-	24,411
USO center revenue	289	-	289
Investment return, net	1,398	110	1,508
Other income (loss)	(547)	-	(547)
Net assets released from restrictions	25,948	(25,948)	-
	<u>247,053</u>	<u>440</u>	<u>247,493</u>
Total operating revenue, gains, and other support			
Program services expense			
USO centers	71,027	-	71,027
Transition programs	4,124	-	4,124
Military families and expeditionary programs	6,648	-	6,648
Contributed materials, facilities and services	105,538	-	105,538
Entertainment	3,314	-	3,314
Communications and public awareness outreach	14,261	-	14,261
	<u>204,912</u>	<u>-</u>	<u>204,912</u>
Total program services expense			
Supporting services expense			
Fundraising	37,373	-	37,373
Management and general	16,122	-	16,122
Contributed materials, facilities and services	476	-	476
	<u>53,971</u>	<u>-</u>	<u>53,971</u>
Total supporting services expense			
Total operating expenses	<u>258,883</u>	<u>-</u>	<u>258,883</u>
Operating expenses in excess of operating revenue, before nonoperating	(11,830)	440	(11,390)
Nonoperating			
Endowment investment return, net	9,360	8,197	17,557
	<u>9,360</u>	<u>8,197</u>	<u>17,557</u>
Total nonoperating activity			
CHANGE IN NET ASSETS	(2,470)	8,637	6,167
Net assets, beginning of year	153,247	104,366	257,613
Net assets, end of year	<u>\$ 150,777</u>	<u>\$ 113,003</u>	<u>\$ 263,780</u>

The accompanying notes are an integral part of this consolidated financial statement.

United Service Organizations, Inc.

CONSOLIDATED STATEMENT OF ACTIVITIES

Year ended December 31, 2023
(In thousands of dollars)

	Without Donor Restrictions	With Donor Restrictions	Total
Revenue, gains and other support			
Contributions			
Corporate, foundation and individual giving	\$ 37,485	\$ 25,921	\$ 63,406
Direct response	53,508	-	53,508
United way and CFC	277	-	277
Contributed materials, facilities and services	66,550	1,936	68,486
Grants	24,111	-	24,111
USO center revenue	494	-	494
Investment return, net	1,357	198	1,555
Other income	1,518	-	1,518
Net assets released from restrictions	22,346	(22,346)	-
Total operating revenue, gains, and other support	207,646	5,709	213,355
Program services expense			
USO centers	71,552	-	71,552
Transition programs	4,951	-	4,951
Military families and expeditionary programs	6,471	-	6,471
Contributed materials, facilities and services	66,725	-	66,725
Entertainment	3,120	-	3,120
Communications and public awareness outreach	15,191	-	15,191
Total program services expense	168,010	-	168,010
Supporting services expense			
Fundraising	34,700	-	34,700
Management and general	15,600	-	15,600
Contributed materials, facilities and services	280	-	280
Total supporting services expense	50,580	-	50,580
Total operating expenses	218,590	-	218,590
Operating expenses in excess of operating revenue, before nonoperating	(10,944)	5,709	(5,235)
Nonoperating			
Endowment investment return, net	12,505	10,097	22,602
Total nonoperating activity	12,505	10,097	22,602
CHANGE IN NET ASSETS	1,561	15,806	17,367
Net assets, beginning of year	151,686	88,560	240,246
Net assets, end of year	\$ 153,247	\$ 104,366	\$ 257,613

The accompanying notes are an integral part of this consolidated financial statement.

United Service Organizations, Inc.

CONSOLIDATED STATEMENT OF FUNCTIONAL EXPENSES

Year ended December 31, 2024
(In thousands of dollars)

	Program Services						Supporting Services		Total Operating Expenses
	USO Centers	Transition Programs	Military Families and Expeditionary Programs	Entertainment	Communications and Public Awareness Outreach	Total	Fund- Raising	Management and General	
Salaries	\$ 35,694	\$ 2,920	\$ 899	\$ 1,291	\$ 2,624	\$ 43,428	\$ 10,240	\$ 6,560	\$ 60,228
Payroll taxes	2,785	222	63	89	169	3,328	702	430	4,460
Retirement plan	2,423	209	62	88	177	2,959	690	441	4,090
Employee benefits	3,585	147	85	132	264	4,213	880	725	5,818
Total salaries and related expenses	44,487	3,498	1,109	1,600	3,234	53,928	12,512	8,156	74,596
Program supplies and services	23,506	1,468	4,700	11,968	-	41,642	-	-	41,642
Office expenses	2,028	3	-	1	3	2,035	157	61	2,253
Information technology	3,706	248	305	51	114	4,424	730	680	5,834
Printing and production	73	15	1	803	4,698	5,590	9,267	3,023	17,880
Marketing and promotion	29	-	-	15	40,316	40,360	4,918	-	45,278
Professional fees	1,619	148	67	121	1,834	3,789	5,478	1,569	10,836
Subscriptions, dues, and staff training	120	15	-	8	72	215	121	232	568
Travel	2,228	26	19	540	75	2,888	935	251	4,074
General insurance	623	7	11	36	47	724	131	84	939
Occupancy	37,672	8	44	66	170	37,960	481	282	38,723
Rental and maintenance of equipment	1,138	6	1	1	2	1,148	6	47	1,201
Postage and shipping	167	6	1,580	5	2,367	4,125	1,081	1,452	6,658
Meetings, conferences and events	145	-	-	15	131	291	1,062	95	1,448
Depreciation and amortization	5,244	9	6	12	23	5,294	77	65	5,436
Other expenses	475	-	-	24	-	499	882	136	1,517
Functional expenses, gross	123,260	5,457	7,843	15,266	53,086	204,912	37,838	16,133	258,883
Note: In-kind expenses included in expenses listed above	(52,233)	(1,333)	(1,195)	(11,952)	(38,825)	(105,538)	(465)	(11)	(106,014)
Functional expenses, net	\$ 71,027	\$ 4,124	\$ 6,648	\$ 3,314	\$ 14,261	\$ 99,374	\$ 37,373	\$ 16,122	\$ 152,869

The accompanying notes are an integral part of this consolidated financial statement.

United Service Organizations, Inc.

CONSOLIDATED STATEMENT OF FUNCTIONAL EXPENSES

Year ended December 31, 2023
(In thousands of dollars)

	Program Services						Supporting Services		Total Operating Expenses
	USO Centers	Transition Programs	Military Families and Expeditionary Programs	Entertainment	Communications and Public Awareness Outreach	Total	Fund- Raising	Management and General	
Salaries	\$ 36,923	\$ 3,245	\$ 829	\$ 1,310	\$ 2,373	\$ 44,680	\$ 10,054	\$ 6,375	\$ 61,109
Payroll taxes	2,840	251	58	95	159	3,403	744	460	4,607
Retirement plan	2,725	262	65	101	188	3,341	811	518	4,670
Employee benefits	3,414	172	69	128	205	3,988	782	597	5,367
Total salaries and related expenses	45,902	3,930	1,021	1,634	2,925	55,412	12,391	7,950	75,753
Program supplies and services	20,780	1,029	4,611	13,650	-	40,070	-	-	40,070
Office expenses	2,157	6	1	1	7	2,172	119	36	2,327
Information technology	3,607	382	143	32	54	4,218	762	594	5,574
Printing and production	152	27	-	613	5,602	6,394	8,911	2,889	18,194
Marketing and promotion	4	11	-	22	4,119	4,156	3,459	1	7,616
Professional fees	1,225	368	37	69	2,539	4,238	3,606	1,713	9,557
Subscriptions, dues, and staff training	218	4	-	10	69	301	155	129	585
Travel	2,082	38	99	570	68	2,857	644	214	3,715
General insurance	523	7	12	36	42	620	148	89	857
Occupancy	36,074	9	46	71	141	36,341	473	369	37,183
Rental and maintenance of equipment	1,039	1	1	1	1	1,043	6	28	1,077
Postage and shipping	657	8	1,353	6	2,510	4,534	1,098	1,307	6,939
Meetings, conferences and events	25	-	-	-	4	29	1,211	132	1,372
Depreciation and amortization	5,314	21	12	18	45	5,410	133	90	5,633
Other expenses	185	-	1	27	2	215	1,817	106	2,138
Functional expenses, gross	119,944	5,841	7,337	16,760	18,128	168,010	34,933	15,647	218,590
Note: In-kind expenses included in expenses listed above	(48,392)	(890)	(866)	(13,640)	(2,937)	(66,725)	(233)	(47)	(67,005)
Functional expenses, net	\$ 71,552	\$ 4,951	\$ 6,471	\$ 3,120	\$ 15,191	\$ 101,285	\$ 34,700	\$ 15,600	\$ 151,585

The accompanying notes are an integral part of this consolidated financial statement.

United Service Organizations, Inc.

CONSOLIDATED STATEMENTS OF CASH FLOWS

Years ended December 31,
(In thousands of dollars)

	2024	2023
Cash flows from operating activities:		
Change in net assets	\$ 6,167	\$ 17,367
Adjustments to reconcile change in net assets to net cash (used in) provided by operating activities:		
Depreciation and amortization	5,436	5,633
Stock contribution received	(625)	(1,604)
Proceeds from sale of stock contributions received	625	1,604
Change in discount and allowance on contributions and other receivables, net	626	688
Change in allowance for inventory obsolescence	3	(15)
Realized/unrealized gain on investments	(13,635)	(19,423)
Contributions restricted for endowment	(50)	(50)
Revenue from contributed inventory, equipment and vehicles	(2,875)	(2,313)
Change in value of beneficial interest in assets held by others	(168)	(581)
Contributions of beneficial interest in charitable trusts held by others	(1,209)	(3,358)
Distributions from beneficial interest in charitable trust held by others	5,915	49
Contributed inventory used	2,824	1,831
Loss (gain) on disposal of fixed assets	480	(1,136)
Impairment loss on right of use assets	190	-
Changes in assets and liabilities:		
Contributions and other receivables	(3,879)	(314)
Grants receivable	(411)	(558)
Prepaid expenses and other assets	(1,037)	285
Inventory	421	417
Right of use asset	419	1,660
Accounts payable and accrued expenses	(2,250)	5,514
Lease liability	(1,064)	(2,112)
Net cash (used in) provided by operating activities	(4,097)	3,584
Cash flows from investing activities:		
Purchase of fixed assets	(2,376)	(3,665)
Proceeds from sale of fixed assets	70	148
Proceeds from sale of land	23	1,323
Purchase of investments	(222,535)	(186,721)
Sales of investments	242,117	186,602
Net cash provided by (used in) investing activities	17,299	(2,313)
Cash flows from financing activities:		
Contributions restricted for endowment	50	50
Net cash provided by financing activities	50	50
NET INCREASE IN CASH AND CASH EQUIVALENTS	13,252	1,321
Cash and cash equivalents, beginning of year	19,107	17,786
Cash and cash equivalents, end of year	\$ 32,359	\$ 19,107

The accompanying notes are an integral part of these consolidated financial statements.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

December 31, 2024 and 2023
(In thousands of dollars)

NOTE A - PRINCIPAL ACTIVITY AND SIGNIFICANT ACCOUNTING POLICIES

Organization

United Service Organizations, Inc. (USO) is a not-for-profit, congressionally chartered, private organization devoted exclusively to strengthen the well-being of the people serving in America's military and their families. The USO relies on the generosity of individuals, organizations and corporations to support its activities and is powered by a family of volunteers. Since 1941, the USO has been the nation's leading organization to serve those in the U.S. military, and their families, throughout their time in uniform. From the moment they join, through their assignments and deployments, and as they transition back to their communities, the USO is always by their side.

Today's USO continuously adapts to the needs of those in uniform and their families, so they can focus on their very important mission. The USO operates centers at or near military installations across the United States and throughout the world, including in combat zones, and even un-staffed USO service sites in places too dangerous for anyone but combat troops to occupy.

USO airport centers throughout the country offer around-the-clock hospitality for traveling service members and their families. USO trademark tours bring America and its celebrities to service members who are assigned far from home, to entertain them and convey the support of the nation. USO's many specialized programs offer a continuum of support to service members throughout their journey of service, from the first time they don the uniform until the last time they take it off.

Principles of Consolidation

The accompanying consolidated financial statements reflect the accounts of USO, USO Foundation and the USO Deutschland (Association). The Foundation was incorporated as a supporting organization to carry out and support the general charitable purposes of the USO. The Association was organized in Germany for the purpose of supporting USO, specifically the establishment and strengthening of intellectual, social, and cultural connections between Germans and the members of the armed forces of the United States of America through the USO Centers located in Germany. All intercompany accounts and transactions have been eliminated.

Foreign Currency

The USO operates centers at military installations around the world. The United States dollar is the functional currency of the USO; however, the USO maintains financial assets and liabilities in foreign currencies to meet the local obligations of the centers. The financial assets and liabilities in foreign currencies are translated using exchange rates in effect at the end of the period and revenue and costs are translated using weighted-average exchange rates for the period.

Cash and Cash Equivalents

The USO considers all cash and highly liquid financial investments with original maturities of three months or less which are neither held for nor restricted by donors for long-term purposes, to be cash and cash equivalents.

Promises to Give

Unconditional promises to give that are expected to be collected within one year are recorded at their net realizable value. Unconditional promises to give that are expected to be collected in future years are initially recorded at fair value using present value techniques incorporating risk-adjusted discount rates designed to reflect the assumptions market participants would use in pricing the asset. In subsequent years,

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

amortization of the discount is included in contribution revenue in the consolidated statement of activities. Allowances for uncollectible contributions are determined based on management's judgment and analysis of the creditworthiness of the donors, past collection experience, an assessment of economic conditions, and a review of subsequent collections. Contributions receivable are written off when deemed uncollectible.

Unconditional promises to give goods are recorded at their net realizable value which is the estimated fair value based on a minimal timeframe between promise to give and receipt of goods. Inventory receivables are recorded at wholesale value. Wholesale value of the items donated is determined based on management's best estimate using information provided by donors and other third parties. The USO does not accept or record inventory receivables that are expected to be collected in greater than one year. As of December 31, 2024 and 2023, the USO did not have any unconditional promises to give related to product inventory.

Inventory

Inventories are stated at the lower of cost or market determined on a first-in, first-out method.

Contributed product inventory is recorded at the fair value on the date received. Management periodically reviews inventory levels for slow-moving or obsolete inventory and adjusts the fair value, if necessary.

Beneficial Interest in Assets Held by Others

The USO holds endowment funds with three community foundations. These community foundations were established by former chartered centers to hold endowments and named the associated chartered center as beneficiary upon establishment of the fund. The community foundations were granted variance power allowing the community foundation to modify any condition or restriction on its distributions for any specific charitable purpose or to any specified organization if, in the sole judgment of the community foundation's board of directors, such restriction or condition becomes unnecessary, incapable of fulfillment, or inconsistent with the charitable needs of the community. The endowments are held and invested by the community foundation for the USO's benefit and the associated beneficial interest in the assets of the foundations are reported at fair value in the consolidated statements of financial position, with distributions and changes in fair value recognized in the consolidated statements of activities.

The USO has been named as an irrevocable beneficiary of charitable remainder trusts held and administered by independent trustees. These trusts were created independently by donors and are administered by outside agents designated by the donors. Therefore, USO has neither possession nor control over the assets of the trusts. A charitable remainder trust is an arrangement in which the donor establishes and funds a trust with specific distributions to be made to a specified party over a specified period. Upon termination of the trust, the remainder of the trust's assets are paid to the beneficiaries designated by the donor. At the date USO receives notice of a beneficial interest, a contribution with donor restrictions is recorded in the consolidated statements of activities, and a beneficial interest in remainder trusts is recorded in the consolidated statements of financial position at the fair value of the underlying trust assets. Thereafter, beneficial interests in the trusts are reported at the fair value of the trusts' assets in the consolidated statements of financial position, with trust distributions and changes in fair value recognized in the consolidated statements of activities.

The USO has been named as an irrevocable beneficiary in charitable and perpetual trusts held and administered by independent trustees. The USO does not hold possession or control over the assets of the trusts. At the date the USO receives notice of a beneficial interest, a contribution with donor restrictions is recorded in the consolidated statements of activities and a beneficial interest in charitable trust held by others is recorded in the consolidated statements of financial position at fair value using present value techniques and risk-adjusted discount rates designed to reflect the assumptions market participants would

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

use in pricing the expected distributions to be received under the agreement. Thereafter, beneficial interests in the trusts are reported at fair value in the consolidated statements of financial position, with changes in fair value recognized in the statements of activities.

Investments

The USO records investment purchases at cost, or if donated, at fair value on that date of donation. Thereafter, investments are reported at their fair values in the consolidated statements of financial position. Net investment return is reported in the consolidated statements of activities and consists of interest and dividend income, realized and unrealized capital gains and losses, less external and direct internal investment expenses. Interest and dividend income is recognized when earned.

Fair Value Measurements

The USO reports certain assets and liabilities at fair value in the consolidated financial statements. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. A fair value hierarchy that prioritizes the inputs to valuation techniques is used to measure fair value. The hierarchy maximizes the use of observable inputs and minimizes the use of unobservable inputs by requiring that the most observable inputs be used when available. The hierarchy is broken down into the following three levels, based on the reliability of inputs:

- Level 1 - Unadjusted quoted prices in active markets for identical assets or liabilities that are observable at the measurement date.
- Level 2 - Significant observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities, quoted prices in markets that are not active, or other inputs that are observable or can be corroborated by observable market data.
- Level 3 - Significant unobservable inputs for the asset or liability that reflect the reporting entity's own estimates about the assumptions that market participants would use in pricing the asset or liability.

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. A financial instrument's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement; however, the determination of what constitutes observable requires significant judgment by USO. The USO considers observable data to be market data that is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, and provided by independent sources that are actively involved in the relevant market. The categorization of a financial instrument within the fair value hierarchy is based on the pricing transparency of the instrument and does not necessarily correspond to USO's assessment of the quality, risk, or liquidity profile of the asset or liability.

The following is a description of the valuation methodologies used for assets measured at fair value. There have been no changes in the methodologies used at December 31, 2024 and 2023.

Investments with values that are based on quoted market prices in active markets classified within Level 1 include active listed equities, mutual funds, actively traded corporate and international bonds, and government obligations. Money market funds held as investments are also classified within Level 1 as their carrying value approximates fair value due to the short maturity of these instruments.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

Investments that trade in markets that are not considered to be active, but that are valued based on quoted market prices or if quoted market prices are not available or accessible, then fair values are estimated using pricing models, matrix pricing, or discounted cash flow models are classified within Level 2. The most significant inputs to the discounted cash flow model are the coupon, yield and expected maturity date. The fair values of corporate bonds, international bonds or government obligations that are estimated using pricing models or matrix pricing based on observable prices of the investments that trade in inactive markets are generally classified within Level 2 of the fair value hierarchy. As of December 31, 2024 and 2023, the USO did not hold any corporate bonds, international bonds or government obligations not traded in active markets.

The fair values of beneficial interests in charitable and perpetual trusts are determined by the USO using present value techniques and risk-adjusted discount rates designed to reflect the assumptions market participants would use in pricing the underlying assets and are based on the fair values of trust investments as reported by the trustees. The fair value of beneficial interest in assets held by the community foundation is based on the fair value of fund investments as reported by the community foundation. These are considered to be Level 3 measurements.

The USO uses net asset value (NAV) per share, or its equivalent, such as member units or an ownership interest in partners' capital, as a practical expedient to estimate the fair value of certain hedge funds, private equity funds, funds of funds and limited partnerships, which do not have readily determinable fair values. Investments that are measured at fair value using NAV per share as a practical expedient are not classified in the fair value hierarchy. The alternative investments consist of investments invested primarily in managed futures, foreign exchange and private investment companies to achieve diversification to provide for increased return and/or reduced volatility. The fair values of these investments are determined using the NAV per share as a practical expedient.

Fixed Assets

Furniture, fixtures, equipment, and other capitalized assets over \$5 are recorded at cost, or if donated, at fair value on the date of donation. Depreciation is computed using the straight-line method over the estimated useful lives of the respective assets, which range from three to seven years. Leasehold improvements are amortized using the straight-line method over the lesser of the useful life of the improvement or the lease term. An internally developed software application is being amortized using the straight-line method over the useful life of the application, which is estimated at five years. When assets are sold or otherwise disposed of, the cost and related depreciation or amortization are removed from the accounts, and any resulting gain or loss is included in the consolidated statements of activities. Costs of maintenance and repairs that do not improve or extend the useful lives of the respective assets are expensed when incurred.

Leases

USO determines if an arrangement is or contains a lease at inception. Leases are included in right-of-use (ROU) assets and lease liabilities in the consolidated statements of financial position. ROU assets and lease liabilities reflect the present value of the future minimum lease payments over the lease term, and ROU assets also include prepaid or accrued rent. Operating lease expense is recognized on a straight-line basis over the lease term. USO does not report ROU assets and leases liabilities for its short-term leases (leases with a term of 12 months or less). Lease payments on short-term leases are reported as lease expense on a straight-line basis over the lease term.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

Net Assets

Net assets, revenues, gains and losses are classified based on the existence or absence of donor-imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Without Donor Restrictions - Net assets available for use in general operations and not subject to donor restrictions. The Board of Governors (Board) has designated, from net assets without donor restrictions, net assets for a board-designated endowment.

With Donor Restrictions - Net assets subject to donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires, that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

Measure of Operations

The USO's operating revenues in excess of operating expenses include all operating revenues and expenses that are an integral part of its programs and supporting activities and net assets released from donor restrictions to support operating expenditures. The USO has presented net investment return on endowment investments and contribution revenue related to the excess of assets acquired over liabilities assumed in the acquisition of other charitable organizations as nonoperating in the consolidated statements of activities.

Revenue Recognition

Contributions

The USO recognizes contributions when cash, securities or other assets, or an unconditional promise to give is received. Conditional promises to give, that is, those with a measurable performance or other barrier, and a right of return, are not recognized until the conditions on which they depend have been substantially met.

Consequently, at December 31, 2024 and December 31, 2023, contributions excluding those associated with a federal grant award approximating \$295 and \$131, respectively have not been recognized in the accompanying consolidated statements of activities because the condition(s) on which they depend has not yet been met. Of the total conditional contributions, \$295 and \$115 depend on raising additional contributions that will be matched dollar-for-dollar for the years ending December 31, 2024 and 2023, respectively.

Bequests

The USO has been named beneficiary under various wills. Bequests are recognized as receivables and contributions if they are irrevocable, unconditional, and measurable. If a gift does not meet these criteria it is not recognized as contribution revenue until the will is declared valid through probate and subject to final distribution. At that time, the USO recognizes the contribution at fair value. Bequests receivable are normally expected to be fully collected within one year and any receivable in excess of one year is subject to discounting.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

Grant Revenue

The USO recognizes government and private contracts and grants as either contributions or exchange transaction revenues, depending on whether the transaction is reciprocal or nonreciprocal. For contributions, revenue is recognized when a contribution becomes unconditional. Typically, contract and grant agreements contain a right of return or right of release from the respective obligation provision on the part of the grantor and the USO has limited discretion over how funds transferred should be spent. As such, the USO recognizes revenue for these conditional contributions when the related barrier to entitlement has been overcome.

Amounts reported as grants receivable, within the accompanying consolidated statements of financial position, represent expenses incurred in advance of the receipt of funds. Funds received in advance of conditions being met are reported as deferred revenue within the accompanying consolidated statements of financial position. As of December 31, 2024 and 2023, the USO had no deferred revenue to report from funds received in advance of conditions being met.

Billed and unbilled receivables of grants are expected to be collected within one year and are recorded at net realizable value as grant receivables in the consolidated statements of financial position. Federal grant awards are subject to independent audit under the Office of Management and Budget Uniform Guidance and review by grantor agencies. Such review could result in the disallowance of expenditures under the terms of the grant or reductions of future grant funds. Based on prior experience, the USO's management believes that costs ultimately disallowed, if any, would not materially affect the consolidated financial position of the USO.

At December 31, 2024 and 2023, the USO has a conditional contribution associated with a federal grant award totaling \$15,977 and \$16,388, respectively which will be recognized as revenue as grant expenditures are incurred, meeting the conditions of the grant award.

Contributed Materials and Facilities

Donated facilities, equipment use, materials and supplies received from the United States Government and other donors are reflected in the accompanying consolidated financial statements as support to the USO at the estimated fair value when received or when an unconditional pledge to contribute has been made.

Contributed Services

The USO recognizes contributions of services received if such services (a) create or enhance non-financial assets or (b) require specialized skills, are provided by individuals possessing those skills and would typically need to be purchased if not contributed.

USO Center Revenue

USO Center Revenue represents amounts collected for cultural tours, canteen operations, gift shops and a variety of other activities at USO centers located at military installations around the world. Revenue is recognized when earned. Amounts received in advance for tours and other activities are recorded as deferred revenue and included in accounts payable and accrued expenses in the consolidated statements of financial position.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

Functional Allocation of Expenses

The costs of program and supporting services activities have been summarized on a functional basis in the consolidated statement of functional expenses. The statements of functional expenses present the natural classification detail of expenses by function. Accordingly, certain costs have been allocated among the programs and supporting services benefited.

The consolidated financial statements report certain categories of expenses that are attributed to more than one program or supporting function. The expenses that are allocated include occupancy, depreciation, salaries and wages, benefits, payroll taxes, professional services, office expenses, information technology, insurance, and other, which are allocated on the basis of estimates of time and effort, headcount, or other measure of utilization such as square footage of office space.

Financial Instruments and Credit Risk

Financial instruments that potentially subject the USO to credit risk consist primarily of cash, accounts receivable, and investments. The USO manages deposit concentration risk by placing cash, money market accounts, and certificates of deposits with financial institutions believed to be creditworthy. Additionally, various cash accounts are maintained at financial institutions whose deposits are insured by the Federal Deposit Insurance Corporation (FDIC). Cash deposits may exceed the FDIC insurable limits at times throughout the year due to anticipated large expenses under various projects. As of December 31, 2024, balances held in accounts in excess of the FDIC insurable limit were \$29,013. Amounts in foreign bank accounts total \$383 and \$307 at December 31, 2024 and 2023, respectively. The USO has not experienced any losses in these accounts and management does not consider this to be a significant credit risk. Credit risk associated with accounts receivable and promises to give is considered to be limited due to high historical collection rates and because substantial portions of the outstanding amounts are due from governmental agencies and donors supportive of our mission.

Investments are made by diversified investment managers whose performance is monitored by the Foundation Board and the finance committee of the Board. The USO's investment policies also stipulate appropriate diversification of investment balances.

Income Taxes

The USO and Foundation are organized as District of Columbia nonprofit corporations and have been recognized by the Internal Revenue Service (IRS) as exempt from federal income taxes under Section 501(a) of the Internal Revenue Code (IRC) as organizations described in IRC Section 501(c)(3). The USO and Foundation are annually required to file a Return of Organizations Exempt from Income Tax (Form 990) with the IRS. In addition, the USO and Foundation are subject to income tax on net income that is derived from business activities that are unrelated to their exempt purposes.

The Association is organized as a German association and has been granted exemption from corporate income and trade tax by the city of Frankfurt, Germany. The Association is required to file a statutory Report of Accounts every three years with the city of Frankfurt, Germany.

Accounting principles generally accepted in the United States of America (U.S. GAAP) requires that an income tax position be recognized or derecognized based on a more-likely-than-not threshold. Each organization follows guidance that clarifies the accounting for uncertainty in tax positions taken or expected to be taken in a tax return, including issues relating to financial statement recognition and measurement. This guidance provides that the tax effects from an uncertain tax position can only be recognized in the financial statements if the position is more likely than not to be sustained if the position were to be challenged by a taxing authority. The assessment of the tax position is based solely on the technical merits

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

of the position, without regard to the likelihood that the tax position may be challenged. USO has determined that there are no material uncertain tax positions that require recognition or disclosure in the consolidated financial statements.

Reclassifications

Certain prior period amounts in the investment table in Note D have been reclassified for consistency with the current year presentation. These reclassifications had no impact on the change in net assets or on total net assets.

Estimates

The preparation of consolidated financial statements in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

NOTE B - LIQUIDITY AND AVAILABILITY

The USO regularly monitors liquidity required to meet its operating needs and other contractual commitments, while also striving to maximize the investment of its available funds. The USO has various sources of liquidity at its disposal, including cash and cash equivalents and marketable debt and equity securities. For purposes of analyzing resources available to meet general expenditures over a 12-month period, the USO considers all expenditures related to its ongoing program activities as well as the conduct of services undertaken to support these activities to be general expenditures.

The USO receives significant contributions with donor restrictions to be used in accordance with the associated purpose restrictions. It also receives gifts to establish endowments that will exist in perpetuity; the income generated from such endowments is used to fund programs.

As of December 31, the following financial assets could readily be made available within one year of the consolidated statement of financial position to meet general expenditures:

	2024	2023
Cash and cash equivalents	\$ 32,359	\$ 19,107
Contribution, grant and other receivables	24,171	28,195
Operating investments	24,882	33,399
Distributions from beneficial interests in assets held by others	1,249	5,295
Financial assets available to meet general expenditures over the next 12 months	\$ 82,661	\$ 85,996

In addition to the above, the Board has designated a portion of its unrestricted resources for an endowment. As of December 31, 2024 and 2023, the board-designated value is \$79,706 and \$83,851, respectively. These funds are invested for long-term appreciation but remain available and may be spent at the discretion of the Board.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
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NOTE C - CONTRIBUTIONS RECEIVABLE, NET

Contributions receivable, net consist of the following unconditional promises to give as of December 31:

	2024	2023
Less than one year	\$ 16,050	\$ 20,156
One to five years	13,827	5,491
More than five years	872	1,040
	<u>30,749</u>	<u>26,687</u>
Less:		
Discount to net present value at rates ranging from 1% to 6%	(2,354)	(1,368)
Allowance for uncollectible contributions receivable	<u>(1,009)</u>	<u>(1,513)</u>
	<u>\$ 27,386</u>	<u>\$ 23,806</u>

NOTE D - INVESTMENTS

At December 31, investments consist of the following:

	2024	2023
Fixed Income:		
Mutual funds	\$ 21,818	\$ 28,974
Corporate bonds	25,167	32,200
Government securities	14,495	20,108
Corporate Equity:		
Mutual Funds	67,635	59,069
Corporate equity securities	30,495	25,649
Money market holdings	17,736	18,130
Alternative investments	6,216	5,379
	<u>\$ 183,562</u>	<u>\$ 189,509</u>

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

Investments, excluding alternative investments, were recorded at fair value as of December 31, 2024 based on the following level of hierarchy:

	Total	Reported at NAV	Level 1	Level 2	Level 3
Fixed Income:					
Mutual funds	\$ 21,818	\$ -	\$ 21,818	\$ -	\$ -
Corporate bonds	25,167	-	25,167	-	-
Government securities	14,495	-	14,495	-	-
Corporate Equity:					
Mutual Funds	67,635	-	67,635	-	-
Corporate equity securities	30,495	-	30,495	-	-
Money market holdings	17,736	-	17,736	-	-
Alternative investments	6,216	6,216	-	-	-
	<u>183,562</u>	<u>6,216</u>	<u>177,346</u>	<u>-</u>	<u>-</u>
Beneficial interests in assets held by others	371	-	-	-	371
Beneficial interests in trusts held by others	<u>3,074</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>3,074</u>
	<u>\$ 187,007</u>	<u>\$ 6,216</u>	<u>\$ 177,346</u>	<u>\$ -</u>	<u>\$ 3,445</u>

Investments, excluding alternative investments, were recorded at fair value as of December 31, 2023 based on the following level of hierarchy:

	Total	Reported at NAV	Level 1	Level 2	Level 3
Fixed Income:					
Mutual funds	\$ 28,974	\$ -	\$ 28,974	\$ -	\$ -
Corporate bonds	32,200	-	32,200	-	-
Government securities	20,108	-	20,108	-	-
Corporate Equity:					
Mutual Funds	59,069	-	59,069	-	-
Corporate equity securities	25,649	-	25,649	-	-
Money market holdings	18,130	-	18,130	-	-
Alternative investments	5,379	5,379	-	-	-
	<u>189,509</u>	<u>5,379</u>	<u>184,130</u>	<u>-</u>	<u>-</u>
Beneficial interests in assets held by others	335	-	-	-	335
Beneficial interests in trusts held by others	<u>7,648</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>7,648</u>
	<u>\$ 197,492</u>	<u>\$ 5,379</u>	<u>\$ 184,130</u>	<u>\$ -</u>	<u>\$ 7,983</u>

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
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The following is a reconciliation of the beginning and ending balance of assets measured at fair value on a recurring basis using significant unobservable inputs for the years ended December 31:

	2024	2023
Beginning balance	\$ 7,983	\$ 4,093
Contributions	1,209	3,444
Distributions	(5,915)	-
Change in value	168	446
	<u>\$ 3,445</u>	<u>\$ 7,983</u>

The following table details certain attributes pertaining to the investments reported at fair value using a NAV, or its equivalent, as of December 31, 2024 and 2023. These disclosures are required for all investments that are eligible to be valued using the practical expedient regardless of whether the practical expedient has been applied. As of December, 31 2024 and 2023, no redemption restrictions existed on these investments.

	Fair Value at December 31, 2024	Fair Value at December 31, 2023	Unfunded Commitments	Expected Liquidation Term	Redemption Terms
Limited partnerships	\$ 4,843	\$ 4,401	\$ 200	Unknown	Upon liquidation
					Weekly on Wednesday, except first week of the month, when it's the 1st business day, upon 3 days' prior notice
Bond fund	<u>1,373</u>	<u>978</u>	None	Unknown	
	<u>\$ 6,216</u>	<u>\$ 5,379</u>			

NOTE E - FIXED ASSETS

At December 31, fixed assets consist of the following:

	2024	2023
Furniture, fixtures, and equipment	\$ 15,695	\$ 16,429
Leasehold improvements	35,526	34,909
Internally developed software	1,748	802
Land	31	93
	53,000	52,233
Less: accumulated depreciation and amortization	<u>(37,406)</u>	<u>(33,072)</u>
	<u>\$ 15,594</u>	<u>\$ 19,161</u>

For the years ended December 31, 2024 and 2023, depreciation and amortization expense totaled \$5,436 and \$5,633, respectively.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
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NOTE F - COMMITMENTS AND CONTINGENCIES

Operating Leases

The USO evaluated current contracts to determine which met the criteria of a lease. The ROU assets represent the USO's right to use underlying assets for the lease term, and the lease liabilities represent the USO's obligation to make lease payments arising from these leases. The ROU assets and lease liabilities, all of which arise from operating leases, were calculated based on the present value of future lease payments over the lease terms. The USO has made an accounting policy election to use a risk-free rate in lieu of its incremental borrowing rate to discount future lease payments.

The USO's operating leases consist primarily of real estate leases for office space and copier equipment for its centers.

The components of lease cost are as follows:

	2024	2023
Operating lease cost	\$ 2,108	\$ 2,172
Short-term lease cost	126	70
Variable lease costs	93	28
Total lease cost	\$ 2,327	\$ 2,270

The lease term and discount rate for operating leases is as follows:

	2024	2023
Weighted average remaining lease term	2.8 years	3.4 years
Weighted average discount rate	2.0%	1.4%

The following summarizes the supplemental cash flow information for the year ended December 31:

	2024	2023
Cash paid for amounts included in the measurement of lease liabilities:		
Operating cash outlays from operating leases	\$ 2,349	\$ 2,333
ROU assets obtained in exchange for lease liabilities:		
Operating leases	\$ 1,237	\$ -

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
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Future minimum payments under operating leases with terms of one year or more as of December 31, 2024 are as follows:

Years Ending December 31,

2025	\$ 2,388
2026	2,614
2027	863
2028	608
2029	79
	6,552
Less: discount	(222)
	\$ 6,330

Other

The USO is subject to claims and suits arising in the ordinary course of its operations. In the opinion of management, the ultimate resolution of any outstanding legal proceedings will not have a material effect on the USO's financial position, statement of activities, or cash flows.

NOTE G - NET ASSETS

Net assets were released from donor restrictions by incurring expenses satisfying the restricted purposes specified by the donors or by the passage of time during the years ended December 31, as follows:

	<u>2024</u>	<u>2023</u>
USO centers and programs	\$ 13,303	\$ 12,536
Transition programs	2,128	940
Passage of time	8,704	7,221
Appropriation of endowment earnings	1,813	1,649
	\$ 25,948	\$ 22,346

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
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At December 31, net assets consisted of the following:

	2024	2023
Without donor restrictions:		
Operating	\$ 71,071	\$ 69,396
Board-designated endowment	79,706	83,851
Total without donor restrictions	<u>150,777</u>	<u>153,247</u>
With donor restrictions, subject to expenditure for specified purpose or passage of time:		
USO centers and programs	11,498	15,772
Transition programs	868	2,405
Promises to give that are not restricted by donors, but which are unavailable for expenditure until due	19,679	12,343
Total with donor restrictions, subject to expenditure for specified purpose or passage of time	<u>32,045</u>	<u>30,520</u>
Endowments subject to USO endowment spending policy and appropriation:		
Spirit of Hope endowment	77,858	71,508
Other endowments	1,205	1,044
Promises to give, restricted to endowment	47	95
Total endowments	<u>79,110</u>	<u>72,647</u>
Beneficial interest in assets held by community foundation	371	338
Beneficial interest in perpetual trusts held by others	1,477	861
Total net assets with donor restrictions	<u>113,003</u>	<u>104,366</u>
Total net assets	<u><u>\$ 263,780</u></u>	<u><u>\$ 257,613</u></u>

NOTE H - ALLOCATION OF JOINT COSTS

The USO conducts activities that include appeals for contributions. These activities primarily include direct-response campaigns. The costs of conducting those joint activities were allocated as follows:

	2024	2023
Programs	\$ 7,896	\$ 8,122
Management and general	4,555	4,283
Fundraising	8,848	8,375
	<u><u>\$ 21,299</u></u>	<u><u>\$ 20,780</u></u>

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

NOTE I - CONTRIBUTED MATERIALS, FACILITIES AND SERVICES

Volunteer Services

The USO receives donated services from unpaid volunteers assisting in programmatic delivery. Donated volunteer services have not been recognized as revenue in the consolidated financial statements as they do not meet the requirements for recognition.

Center Facilities

The USO receives rent-free or discounted space to operate its USO centers across the world. The fair value of this space is measured using published cost per square footage for similar space.

Celebrity Entertainment

The USO receives contributions of services from various musical performers, actors, influencers, gamers and television and sports personalities in the form of mission delivery engagements performances and interactions at USO centers, military bases, and virtually. Celebrity entertainment values are measured based on published appearance fees for the celebrity or a similar celebrity, in genre, talent, and fame level. As these contributions of services are expended in the year that the services are provided, a corresponding expense equal to the estimated fair market value of the services provided is recognized in the accompanying consolidated financial statements.

Public Service Announcements and Advertising

The USO produces and distributes public service announcements (PSAs) to increase the American public's awareness and understanding of the needs of service members and their families while also making service members and their families aware of the free programs and services available to them through the USO. These PSAs are broadcasted or delivered nationwide, at no charge to the USO. These PSAs are recognized as in-kind contributions at fair value, with a corresponding PSA expense, at the time they are delivered to the public. The USO contracts with independent outside agencies to track and estimate the fair value of each PSA based on current rates for similar broadcasts at a similar date, time, and market in which it is broadcast or displayed.

The USO receives free advertising through billboard advertisements that serve as platforms to market and brand its mission. These donated advertisements are recognized as in-kind contributions at fair value, with a corresponding expense, at the time they are delivered to the public. The valuation of these advertisements is provided by the service provider and is verified by the USO based on the date, time, and market in which each service is rendered.

Materials and Other

Contributed supplies, hotel and airline miles, gift cards, vehicle leases, subscriptions and tickets to entertainment and sporting events are provided to the USO to help defray the costs of those goods and services that would otherwise have been purchased.

Contributed supplies are valued using estimated U.S. wholesale prices of identical or similar products using published prices or the USO's current purchase data considering the condition and utility for use at the time of the contribution. Contributed hotel and airline miles, vehicle leases, and subscriptions are valued based on current rates or prices for similar services or leases. Contributed gift cards are recognized at the stated purchasing value of gift card.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

The USO's consolidated financial statements include the following in-kind contribution revenue and support:

	2024	2023
Center facilities	\$ 36,670	\$ 36,647
Celebrity entertainment	11,909	13,583
Public service announcements and advertising	38,811	2,916
Materials and other	18,284	15,340
	<u>\$ 105,674</u>	<u>\$ 68,486</u>

There were no donor-imposed restrictions associated with the donated services and assets during the years ending December 31, 2024 and 2023. During 2023, the USO exercised an option to renew a no cost lease for use of airport facilities for a period of five years and recognized revenue of \$1,936 representing the fair value of these facilities and will amortize the cost over the period of the lease.

NOTE J - RETIREMENT PLAN

The USO maintains a 401(a) with a 401(k) component plan named the United Service Organizations Retirement Savings Plan (RSP). The RSP allows eligible participants to contribute both pre-tax and Roth contributions to the RSP, as well as allows the USO to contribute both employer matching contributions and safe harbor non-elective contributions. Employer matching contributions vest 100% over a period of five years; whereas safe harbor non-elective contributions vest 100% over a period of two years. Additionally, in 2023, the USO contributed a discretionary employer matching contribution equal to 100% of the employee's salary deferral contributions, up to a maximum of 5% of the employee's compensation.

The USO's policy is to fund retirement plan costs as accrued. Retirement plan expense was \$4,090 and \$4,670 for the years ended December 31, 2024 and 2023, respectively.

NOTE K - ENDOWMENT

The USO's endowment consists of the Spirit of Hope endowment and other individual funds established for a variety of purposes. The Spirit of Hope endowment includes both donor-restricted endowment funds and funds designated by the Board to function as endowments. As required by U.S. GAAP, net assets associated with endowment funds, including funds designated by the Board to function as endowments, are classified and reported based on the existence or absence of donor-imposed restrictions.

The District of Columbia Uniform Prudent Management of Institutional Funds Act (DC-UPMIFA) imposes guidelines on the management and investment of endowment funds. Management of the USO has interpreted DC-UPMIFA as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary. As a result of this interpretation, the USO classifies as donor-restricted endowments (a) the original value of gifts donated to the permanent endowment, (b) the original value of subsequent gifts to the donor-restricted endowment, and (c) accumulations to the donor-restricted endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The accumulations to the donor restricted endowment fund are appropriated for expenditure by the organization in a manner consistent with the standard of prudence prescribed by DC-UPMIFA.

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

In February 2022, the Board adopted a spending policy establishing a spending rate of 2.5% applied to the moving average of the market value of the total Spirit of Hope Endowment less those assets required to be held in perpetuity using the three preceding September month-end market values. Additionally, the Board may provide for distributions exceeding the spending rate to accommodate the operating needs and/or special funding requests. During 2024 and 2023, the Foundation Board authorized \$12,038 and \$8,761, respectfully, as special appropriations of board designated funds to be transferred to the USO to support strategic initiatives.

In addition, USO has adopted a spending policy establishing a spending rate of up to 2.5% on its other endowments. This policy allows the Board to adjust this spending rate or make the determination to not spend funds in any given year.

The USO has adopted an investment policy for the endowment fund. This investment policy is based on growing the endowment fund to provide financial stability for the USO in perpetuity with no short-term plans for withdrawals from the fund. The USO's ability to tolerate risk and volatility should be consistent with that of a conservative growth portfolio, with investments made in companies that demonstrate consistent growth over time. Asset allocations are developed in accordance with this long-term, conservative growth strategy.

The following illustrates endowment net asset composition by type of fund and the changes in endowment net assets for the years ended December 31:

<u>2024</u>	<u>Without Donor Restrictions</u>	<u>With Donor Restrictions</u>	<u>Total</u>
Board-designated endowment	\$ 79,706	\$ -	\$ 79,706
Donor-restricted endowment:			
Original donor-restricted gift amount and amounts required to be maintained in perpetuity by donor	-	26,474	26,474
Accumulated net investment return	-	52,589	52,589
	<u>\$ 79,706</u>	<u>\$ 79,063</u>	<u>\$ 158,769</u>
 <u>2024</u>	 <u>Without Donor Restrictions</u>	 <u>With Donor Restrictions</u>	 <u>Total</u>
Endowment net assets, beginning of year	\$ 83,851	\$ 72,552	\$ 156,403
Investment income, net	9,283	8,274	17,557
Additions	-	50	50
Transfers from board-designated endowment funds	(12,038)	-	(12,038)
Appropriation of endowment net assets pursuant to spend-rate policy	(1,390)	(1,813)	(3,203)
Endowment net assets, end of year	<u>\$ 79,706</u>	<u>\$ 79,063</u>	<u>\$ 158,769</u>

United Service Organizations, Inc.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS-CONTINUED

December 31, 2024 and 2023
(In thousands of dollars)

<u>2023</u>	<u>Without Donor Restrictions</u>	<u>With Donor Restrictions</u>	<u>Total</u>
Board-designated endowment	\$ 83,851	\$ -	\$ 83,851
Donor-restricted endowment:			
Original donor-restricted gift amount and amounts required to be maintained in perpetuity by donor	-	26,424	26,424
Accumulated net investment return	-	46,128	46,128
	<u>\$ 83,851</u>	<u>\$ 72,552</u>	<u>\$ 156,403</u>
<u>2023</u>	<u>Without Donor Restrictions</u>	<u>With Donor Restrictions</u>	<u>Total</u>
Endowment net assets, beginning of year	\$ 81,558	\$ 63,936	\$ 145,494
Investment income, net	12,505	10,225	22,730
Additions	-	40	40
Transfers from board-designated endowment funds	(8,761)	-	(8,761)
Appropriation of endowment net assets pursuant to spend-rate policy	<u>(1,451)</u>	<u>(1,649)</u>	<u>(3,100)</u>
Endowment net assets, end of year	<u>\$ 83,851</u>	<u>\$ 72,552</u>	<u>\$ 156,403</u>

NOTE L - SUBSEQUENT EVENTS

The USO evaluated its December 31, 2024 consolidated financial statements for subsequent events through May 8, 2025, the date the consolidated financial statements were available to be issued and concluded that no other additional disclosures are required. concluded that no other additional disclosures are required.